Investment recommendation / section 8.6

CONDITIONAL ADJUST

Our proposed decision is to adjust the mandate implementation before committing capital. Keep the seven-ETF universe and the constrained minimum-variance rule as a candidate. Do not treat lower historical volatility as a promise that this endowment can meet spending needs without painful losses.

We propose a ten-year horizon, 4% annual spending, 2.5% inflation and a separate 0.25% additional fee, with no desired real growth. Under the stated beginning-NAV deduction convention this implies a6.75% nominal planning hurdle. These are our planning assumptions, not numerical limits supplied by the organiser or the university.

The unchanged rule earned 7.63% a year during 2021-2026, with 8.80% volatility and -16.78% maximum drawdown. This is useful evidence of a return / loss trade-off, not a forecast. The cash distribution yield at the end of the historical strategy path was 2.19%, so4% spending cannot be assumed to come entirely from distributions. A total-return spending policy would need planned sales and liquidity.

The candidate does not cleanly pass our proposed tail budgets. At the current prospective target, recent Historical 99% daily VaR is 1.54% versus a1.5% budget, and ES is 2.03% versus 2%. Full-history ES rises to 2.50%. The current-target GFC replay also shows a drawdown beyond20%, even though its terminal loss is smaller. Limits must not be raised simply to make the candidate pass.

Before implementation, the committee should approve spending and loss tolerances, assess a feasible redistribution within the allowed universe, and decide whether monthly target caps may drift between rebalances. Current energy and gold exposures carry substantial tail risk. Any modified rule must be evaluated separately; we have not switched strategies after seeing the evaluation results.

Review the portfolio quarterly and rebalance on the scheduled monthly rule. Escalate daily ES99 above 2%, drawdown above 20%, target-cap drift, missing data and clustered exceptions. The latest HS99 educational Basel light is green with four exceptions, but longer-history clustering concerns remain. A green light is not model approval.

This is an AI-assisted draft recommendation awaiting independent human evaluation and committee approval. The team must verify the supporting evidence and be able to explain and defend it. We do not claim exact intraday point-in-time data, guaranteed capital protection or assured spending sustainability. The full memo, tests and evidence state the remaining limitations.